

lose, you're out. If you win, you go on to the next round. Round after round, and we would get fewer and fewer people left. But, by mathematical certainty, someone will keep winning. Again and again, they call the coin correctly. When there are just a handful left in the country, they would be seen as superstars. They would be on TV, being interviewed about their incredible coin-flipping skills, and they would write books about their technique.

No, returning to the realm of mortals, to the real world, we can easily observe what the very best have achieved in the long run. Some of the very best have become billionaires by realising a long-term annualised return of around 20%. That is a world-class number, and if you were thinking of 40% or more, you need to ask yourself if you have credible reasons to think that you can double the performance of the best in the world.

Of course, in any given year, anything can happen. By luck or skill, you might double your money one year, but you will also have negative years. Anyone might double their money one year, but it won't happen every year.

This book shows you trading strategies which in theory can give you very high returns over time. But there are quite a lot of "what-ifs". What if the markets change and trend following doesn't perform for the next ten years? What if you happen to start trading just before the biggest drawdown in history? What if you can't keep trading for 20 years, to really achieve that high return? What if you miss a trade, what if you get a poor execution, what if?, what if? Reality is simply not as cooperative as a lab-grown backtest.

You would do well in accepting that 20% per annum over a longer time is a respectable target to shoot for, but that you will probably never reach it. But if the bad news is that you're unlikely to reach 20% compounded over time, the good news is that you don't have to. That you can become independently wealthy by compounding at 15%, perhaps even less.

And note that I did say that you can, meaning that it's within the realm of possibility. I didn't say it's likely and I didn't say it's easy. It's not that kind of a trading book.

■ Getting a Job in Trading

Once you have done all your research, designed and refined your strategies, tested them and feel confident in their results, it's time to figure out what you want to do with it. One obvious way is of course to try to get a job in the industry. The financial industry can be a lucrative place to spend your